EOS Fitness Opco Holdings, LLC

Consolidated Financial Statements
Years Ended December 31, 2023 and 2022

EOS Fitness Opco Holdings, LLC

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Report of Independent Auditors

To the Management of EOS Fitness Opco Holdings, LLC

Opinion

We have audited the accompanying consolidated financial statements of EOS Fitness Opco Holdings, LLC and its subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2023 and 2022, and the related consolidated statements of operations, of changes in member's deficit and of cash flows for the years then ended, including the related notes (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2023 and 2022, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matters

As discussed in Note 2 to the consolidated financial statements, the Company has restated its 2022 financial statements to correct misstatements. Such consolidated financial statements, before the restatement referred to above, were reported on by another independent auditor. Our opinion is not modified with respect to this matter.

As described in Note 2 to the consolidated financial statements, the Company changed the manner in which it accounts for leases in 2022. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

Phoenix, Arizona
April 29, 2024

EOS Fitness Opco Holdings, LLC
Consolidated Financial Statements

EOS Fitness Opco Holdings, LLC
Consolidated Balance Sheets
(amounts in thousands)

	December 31, 2023	December 31, 2022 (Restated)
Assets		
Current Assets		
Cash and cash equivalents	$ 5,766	$ 8,627
Restricted cash	75	125
Accounts receivable and other receivables	883	2,434
Prepaid and other current assets	14,469	10,232
Total Current Assets	21,193	21,418
Operating lease right-of-use assets, net	497,493	402,308
Property and equipment, net	281,131	150,767
Goodwill	69,318	69,318
Other assets	1,184	512
Total Assets	$ 870,319	$ 644,323
Liabilities and Member's Deficit		
Current Liabilities		
Accounts payable	$ 6,424	$ 3,124
Accrued expenses	4,347	4,763
Accrued property and equipment	17,157	7,820
Accrued compensation	5,477	4,142
Notes payable, current portion	1,499	1,110
Current portion of operating lease liabilities	29,324	24,410
Current portion of finance lease liabilities	15,806	10,706
Deferred revenue	36,969	27,505
Total Current Liabilities	117,003	83,580
Notes payable	135,489	104,296
Revolving line of credit	-	2,739
Noncurrent operating lease liabilities	622,504	474,226
Noncurrent finance lease liabilities	40,063	23,048
Net deferred income tax liabilities	2,687	2,189
Other noncurrent liabilities	12,772	1,849
Total Liabilities	930,518	691,927
Commitments and Contingencies (Note 10)		
Total Member's Deficit	(60,199)	(47,604)
Total Liabilities and Member's Deficit	$ 870,319	$ 644,323

See accompanying notes to consolidated financial statements.

EOS Fitness Opco Holdings, LLC
Consolidated Statements of Operations
(amounts in thousands)

	December 31, 2023	December 31, 2022 (Restated)
Revenues	$ 328,290	$ 251,268
Operating Expenses:		
Club operations	168,462	123,560
Payroll and related	96,568	73,905
Selling, general and administrative	31,756	19,135
Depreciation and amortization	29,383	21,400
Impairment	893	1,344
Total Operating Expenses	327,062	239,344
Income from Operations	1,228	11,924
Non-operating Expenses (Income), Net:		
Interest expense	17,403	11,176
Bargain purchase gain	(2,778)	-
Total Nonoperating Expenses (Income), Net	14,625	11,176
Income (Loss) before Benefit from Income Taxes	(13,397)	748
Benefit from income taxes	(421)	(393)
Net Income (Loss)	$ (12,976)	$ 1,141

See accompanying notes to consolidated financial statements.

EOS Fitness Opco Holdings, LLC
Consolidated Statements of Changes in Member's Deficit
(amounts in thousands)

	Member's Contributions	Additional Paid-In Capital	Accumulated Deficit	Total
Balance, December 31,2021	$ 40,000	$ 1,551	$ (95,036)	$ (53,485)
Impact of adoption of ASC 842, leases	-	-	4,719	4,719
Equity-based compensation	-	21	-	21
Net income	-	-	1,141	1,141
Balance, December 31, 2022 (Restated)	40,000	1,572	(89,176)	(47,604)
Equity-based compensation	-	381	-	381
Net loss	-	-	(12,976)	(12,976)
Balance, December 31, 2023	$ 40,000	$ 1,953	$ (102,152)	$ (60,199)

See accompanying notes to consolidated financial statements.

EOS Fitness Opco Holdings, LLC
Consolidated Statements of Cash Flows
(amounts in thousands)

	December 31, 2023	December 31, 2022 (Restated)
Cash Flows from Operating Activities		
Net income (loss)	$ (12,976)	$ 1,141
Adjustments to reconcile net income (loss) to cash provided by operating activities:		
Depreciation and amortization	29,383	21,400
Equity-based compensation expense	381	21
Amortization of deferred financing costs	796	754
Operating lease right-of-use asset amortization	25,185	21,693
Bargain purchase gain	(2,778)	-
Impairment	893	1,344
(Gain) loss on sale of asset dispositions	584	(86)
Deferred income taxes	(544)	(402)
Changes in operating assets and liabilities:		
Accounts receiveable and other receivables	1,551	5,888
Prepaid and other current assets	(4,629)	567
Accounts payable	3,313	(2,636)
Accrued expenses	(416)	(1,211)
Accrued compensation	1,335	(643)
Deferred revenue	9,464	4,702
Operating lease liabilities	41,379	(16,364)
Other noncurrent liabilities	10,923	3,779
Net Cash Provided by Operating Activities	103,844	39,947
Cash Flows from Investing Activities		
Payments for acquisitions	(6,975)	-
Purchases of property and equipment	(115,097)	(26,374)
Proceeds from sale of property and equipment	83	27
Net Cash Used in Investing Activities	(121,989)	(26,347)
Cash Flows from Financing Activities		
Payments on Term Loan	(1,220)	(1,060)
Proceeds from Term Loan	33,000	10,000
Payments on revolving line of credit	(8,739)	(10,000)
Proceeds from revolving line of credit	6,000	2,728
Payments on other loans	(3)	(9)
Payment of debt issuance costs	(1,066)	(727)
Payment of finance lease liabilities	(12,738)	(12,700)
Net Cash Provided by (Used in) Financing Activities	15,234	(11,768)
Increase (decrease) in cash, cash equivalents and restricted cash	(2,911)	1,832
Cash, cash equivalents and restricted cash, beginning of year	8,752	6,920
Cash, Cash Equivalents and Restricted Cash, End of Year	$ 5,841	$ 8,752
Supplemental Disclosure of Cash Flow Information		
Cash paid for interest	$ 16,505	$ 10,422
Cash paid for income taxes	29	50
Non-Cash Investing and Financing:		
Leased assets obtained in exchange for new/modified operating lease liabilities	$ 84,314	$ 103,871
Leased assets obtained in exchange for new finance lease liabilities	32,843	12,856
Property and equipment purchases in accrued property and equipment	17,157	7,820
Finance lease obligations assumed in acquisition	746	-

See accompanying notes to consolidated financial statements.

1. Business and Operations

EOS Fitness Opco Holdings, LLC (the "Company," "we,", "our," "us," or "its") operates full-service health and fitness clubs, including personal fitness services and other incidental health club-related services predominately in residential locations of metropolitan areas in the southwestern United States. As of December 31, 2023, we operated 88 fitness clubs, including 30 in Arizona, 14 in California, 14 in Nevada, 12 in Utah, 9 in Florida, and 9 in Texas.

The financial statements are presented on a consolidated basis. Consolidated entities include: Fitness Alliance, LLC (AZ), Fitness Alliance, LLC (CA), Fitness Alliance, LLC (NV), Sports Arena Fitness LLC (NV) and Neste Development Nevada LLC (NV) (collectively, the "Predecessor Entities"). Also included in the accompanying consolidated financial statements is EOS Fitness Brand, LLC (NV), which is currently dormant; EOS Fitness Utah, LLC (UT), EOS Fitness Florida, LLC (FL), and EOS Fitness TX, LLC (TX).

The Company is a wholly owned subsidiary of EOS Fitness Intermediate Holdings, LLC ("Intermediate Holdings"), which is a wholly owned subsidiary of EOS Fitness Holdings, LLC ("Holdings"). In December 2014, Bruckmann, Rosser and Sherrill ("BRS") acquired the net assets of the Predecessor Entities for net cash consideration of $64.5 million. This acquisition provided the foundation of the Company's operations and was sourced by $48.0 million of debt and a $40.0 million contribution from EOS Fitness Intermediate Holdings, LLC.

2. Summary of Significant Accounting Policies

Basis of Presentation and Principles of Consolidation

The accompanying consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP"). All significant intercompany balances and transactions have been eliminated in consolidation.

Prior Period Reclassifications

Reclassifications of certain prior period amounts have been made to conform to current period presentation. The Company elected to present accrued property and equipment as its own financial statement line item separate from accounts payable on the consolidated balance sheet as of December 31, 2022.

Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP requires management to make certain estimates and assumptions that affect the amounts reported in the accompanying consolidated financial statements and related notes. The Company bases its estimates on historical experience and on various other assumptions that are believed to be reasonable. The results of which form the basis for making judgments about the carrying values of assets and liabilities. Actual results could differ from those estimates. We believe the estimates and assumptions most critical to the preparation of our consolidated financial statements include, but are not limited to, the valuation of assets and liabilities acquired in business combinations, income taxes, including the realizability of deferred tax assets, lease accounting assumptions, including the incremental borrowing rate and the fair value of leased real estate, and the evaluation of the recoverability of goodwill and long-lived assets.

Cash, Cash Equivalents and Restricted Cash

Cash consists primarily of cash on hand and demand deposit bank accounts including amounts in transit from banks for customer credit card transactions. Restricted cash consists primarily of letters of credit and escrow deposits. We consider all highly liquid investments with original maturities of 90 days or less to be cash equivalents. Cash equivalents may be comprised of money market funds, certificates of deposit, commercial paper, corporate bonds and notes, certain bank time and demand deposits and government agencies' securities. The carrying amounts approximate fair value due to the short maturities of these instruments. The following table provides a reconciliation of cash, cash equivalents and restricted cash reported in the accompanying consolidated balance sheets to the amounts shown in the accompanying consolidated statements of cash flows as of December 31, 2023 and 2022 (in thousands):

	December 31, 2023	December 31, 2022
Cash and cash equivalents	$ 5,766	$ 8,627
Restricted cash	75	125
Total cash, cash equivalents and restricted cash	$ 5,841	$ 8,752

Concentration of Credit Risk

Financial instruments that potentially subject the Company to credit risk consist primarily of cash and cash equivalents and restricted cash. We primarily maintain our cash and cash equivalents with one financial institution. Our cash and cash equivalent balances are insured by the Federal Deposit Insurance Corporation up to $250,000 per depositor in the United States of America. At times we hold cash equivalents in excess of these insured limits but do not believe that such deposits with our banks are subject to any significant risk.

Accounts Receivable and Other Receivables

Accounts receivable is primarily comprised of amounts owed to the Company from member revenue. Other receivables primarily consist of billings to landlords for tenant allowances, vendor receivables and government funded employee retention tax credits issued through the Coronavirus Aid, Relief, and Economic Security Act as a result of the COVID-19 pandemic. The Company evaluates its accounts receivable on an ongoing basis and may establish an allowance for credit losses based on collections and current credit conditions. Accounts are written off as uncollectible when it is determined that further collection efforts will be unsuccessful. As of December 31, 2023 and 2022, we had no allowances for credit losses.

Business Combinations

We account for business combinations using the acquisition method of accounting. This method requires that the purchase price of the acquisition be allocated to the assets acquired and liabilities assumed using the fair values determined by management as of the acquisition date. The excess of the purchase price over the amounts allocated to assets acquired and liabilities assumed is recorded as goodwill.

We use our best estimates and assumptions as part of the purchase price allocation process to accurately value assets acquired and liabilities assumed as of the acquisition date. Our estimates are inherently uncertain and subject to refinement. As a result, during the measurement period, which may be up to one year from the acquisition date, we record adjustments to the assets acquired and liabilities assumed, with the corresponding offset to goodwill to the extent we identify adjustments to the preliminary purchase price allocation. Upon the conclusion of the measurement period or final determination of the fair values of the assets acquired or liabilities assumed,

whichever comes first, any subsequent adjustments are recorded in the accompanying consolidated statements of operations. Our consolidated financial statements include the results of operations from the date of acquisition for each business combination.

Property and Equipment, Net

Property and equipment are stated at cost less accumulated depreciation. Expenditures for major improvements and additions are recorded as property and equipment while maintenance and repairs that do not improve or extend the lives of the respective assets are charged to expense. Capital expenditures incurred but not paid are included in accrued property and equipment in the accompanying consolidated balance sheets. In addition, gains or losses on the sale of asset dispositions are included in club operations in the accompanying consolidated statements of operations. Depreciation is computed using the straight-line method over the estimated useful lives of the assets as follows:

Exercise equipment	5 – 7 years
Furniture and fixtures	3 - 7 years
Computers and software	3 - 7 years
Leasehold improvements	Shorter of useful life of asset or lease term

Goodwill, Long-Lived Assets, and Other Intangible Assets

Goodwill and other intangible assets that arise from acquisitions are recorded in accordance with Accounting Standards Codification ("ASC") Topic 805 - Business Combinations and ASC Topic 350, Intangibles—Goodwill and Other. In accordance with this guidance, specifically identified intangible assets must be recorded as a separate asset from goodwill if either of the following two criteria is met: (1) the intangible asset acquired arises from contractual or other legal rights; or (2) the intangible asset is separable. Intangibles are typically above market leases, membership lists, and non-compete arrangements. Goodwill is the excess of the purchase price over the fair value of identifiable net assets acquired in a business combination.

Goodwill is not amortized but is reviewed annually for impairment or more frequently if impairment indicators arise. Separable intangible assets that are not deemed to have an indefinite life are amortized over their estimated useful lives on either a straight-line or accelerated basis as deemed appropriate and are reviewed for impairment when events or circumstances suggest that the assets may not be recoverable.

We perform our annual test for impairment of goodwill on October 1 of each year. The annual goodwill test begins with a qualitative assessment, where qualitative factors and their impact on critical inputs are assessed to determine whether it is more likely than not that the fair value of a reporting unit is less than its carrying value. If this qualitative assessment indicates it is more likely than not that the estimated fair value of the reporting unit exceeds its carrying value, no further analysis is required, and goodwill is not impaired. Our qualitative assessment considers factors including changes in the competitive market, budget-to-actual performance, turnover in key management personnel and overall changes in the macroeconomic environment.

If we determine that it is not more likely than not that the estimated fair value of the reporting unit exceeds its carrying value, is required to perform a quantitative impairment assessment. During the periods presented, we did not need to proceed beyond the qualitative assessment, and no goodwill impairments were recorded.

We apply the provisions of ASC Topic 360, Property, Plant and Equipment, which requires that long-lived assets, including amortizable intangible assets, be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. If circumstances require a long-lived asset or asset group to be tested for impairment, then assets are required to be grouped and evaluated at the lowest level for which there are identifiable cash flows that are largely independent of the cash flows of other groups of assets. The recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset or asset group to the undiscounted future net cash flows expected to be generated by the asset or asset group. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or fair value less costs to sell. During the years ended December 31, 2023 and 2022, the Company recorded impairment charges of $0.9 million and $1.3 million, respectively, related to the long-lived assets of two clubs.

Leases

The Company adopted Accounting Standards Update ("ASU") No. 2016-02, Leases, ("ASC 842") as of January 1, 2022 using the modified retrospective approach and elected the package of practical expedients to use in transition, which permitted us not to reassess, under the new standard, our prior conclusions about lease identification, lease classification and initial direct costs.

We determine if an arrangement is or contains a lease at inception by assessing whether the arrangement contains an identified asset and whether it has the right to control the identified asset. Operating right-of-use ("ROU") assets represent the Company's right to use an underlying asset for the lease term and lease liabilities represent the Company's obligation to make lease payments arising from the lease. Lease liabilities are recognized at the lease commencement date based on the present value of future lease payments over the lease term. Operating ROU assets are based on the measurement of the lease liability and also include any lease payments made prior to or on lease commencement and any initial direct costs incurred, as applicable. Lease incentives received are excluded from ROU assets. The Company has no material leases as the lessor.

Lease terms include options to extend or terminate the lease when the Company is reasonably certain it will exercise such options. The expected lease term is used in determining whether the lease is accounted for as an operating lease or a finance lease. Lease costs for our operating leases are recognized on a straight-line basis within club operating expenses and selling, general and administrative over the lease term. Lease costs for our finance leases are amortized to depreciation and amortization expense over the lesser of the useful life of the asset or the lease term on a straight-line basis.

We have elected to not separate lease and non-lease components for any leases within our existing classes of assets and, as a result, account for any lease and non-lease components as a single lease component. We have also elected to not apply the recognition requirement to any leases within our existing classes of assets with a term of 12 months or less and will recognize such costs straight-line

over the lease term. The Company did not have any material short term lease costs as of December 31, 2023 and 2022.

The implicit rate in the Company's operating leases is generally unknown; therefore, we use our incremental borrowing rate based on the information available at the lease commencement date to determine the present value of future lease payments. We give consideration to our credit risk, term of the lease and total lease payments and adjust for the impacts of collateral, as necessary, when calculating our incremental borrowing rates. For finance leases, the implicit rate is known and used in allocating the Company's lease payments between interest expense and a reduction of the outstanding obligation.

In determining finance lease or operating lease classification, we estimate the fair market value of leased assets based on comparable market data from third-party sources and other information as necessary.

Revenue Recognition

The Company receives monthly membership dues for usage from members. We typically offer members month-to-month memberships and recognize revenue ratably over the month to which the membership payments pertain. Membership fees billed at any time other than the first day of the month result in deferred revenue at the end of the month. In some cases, membership dues may be prepaid for a 12-month period and are recognized ratably over such period.

We typically also receive a one-time enrollment fee and an annual membership fee at the time members join. The enrollment fees are nonrefundable in nature, and are deferred and recognized on a straight-line basis over an estimated average membership life, which is based on historical membership experience. The annual membership fees are recognized over a 12-month period. As of December 31, 2023 and 2022, the estimated average membership life was 16 months.

The Company records deferred customer contract costs related to sales commissions and bonuses that are direct and incremental expenses of membership acquisition and are recognized on a straight-line basis over the estimated average membership life as outlined above. These costs are recorded as Deferred member acquisition costs and included within Prepaid and Other Current assets.

In addition to membership related fees for the usage of the fitness clubs, we provide a wide range of services at each of the clubs, including personal training memberships, café service, and other member offerings. Personal training revenue consists of single or multi-session packages per month. These sessions must be used in each respective month. Members who purchase this product commit to a one to six-month period, and revenue is recognized ratably over this period. Café services and products are recognized at the point of sale to the customer and are presented as other ancillary club revenue. Rental income is recognized as space is provided and is presented as other revenue.

Disaggregation of Revenue

The following table details the Company's disaggregation of revenue (in thousands):

	December 31, 2023	December 31, 2022
Membership dues	$ 236,333	$ 178,995
Processing fees	7,334	5,592
Membership revenue	243,667	184,587
Personal training revenue	64,931	53,002
Other ancillary club revenue	19,475	13,564
Ancillary club revenue	84,406	66,566
Other revenue	217	115
Total revenue	$ 328,290	$ 251,268

Contract Assets

The Company offers promotions or delayed billings, which are effectively free trial periods. The free trial periods are recorded as a contract asset at inception, which is subsequently amortized over the average member's life as a reduction in revenue. As of December 31, 2023 and 2022, the Company had $5.9 million and $3.3 million of contract assets, respectively, that was included in prepaid and other currents assets in the accompanying consolidated balance sheets.

Deferred Revenue

The Company records deferred revenue when cash payments are received or due in advance of our performance. As of December 31, 2023, the Company recognized revenue of $27.3 million that was included in the deferred revenue in the accompanying consolidated balance sheets as of December 31, 2022.

Club Operations

Club operations consists of the direct costs associated with the operation of our clubs, primarily payroll, rent, maintenance, utilities, and advertising.

Selling, General and Administrative

Selling, general and administrative expenses are primarily associated with administrative and corporate support functions. These costs primarily consist of payroll, management fees, information technology, legal, accounting and insurance related expenses.

Advertising Costs

The Company expenses advertising and promotional costs as incurred. Advertising and promotion costs for the years ended December 31, 2023 and 2022, were $17.8 million and $12.6 million, respectively, and are included as a component of club operations in the accompanying consolidated statements of operations.

Income Taxes

The Company is a single member limited liability company whose taxable income is reported by Intermediate Holdings that has elected to be taxed as a C Corporation. Pursuant to ASC 740-10, *Income Taxes*, we have determined that an allocation of income tax expense to the Company, using the separate-return method, is appropriate.

Equity-Based Compensation

The Company recognizes equity-based compensation expense for equity-based awards made to employees and directors. The fair value of equity-based awards is estimated at the grant date and the portion that is ultimately expected to vest is recognized as compensation cost over either (1) the requisite service period; or (2) the performance period. We use the Option Pricing Method that considers the various terms of the agreements and utilize a Monte-Carlo simulation model to consider the vesting provisions to determine the fair value of awards at the date of grant.

Compensation expense is recognized over the expected vesting period, which is the period over which all of the specified vesting conditions are satisfied. We account for forfeitures as they occur.

Litigation

We are engaged in proceedings incidental to the normal course of business. Certain conditions may exist as of the date these consolidated financial statements are issued, which may result in a loss to us, but which will only be resolved when one or more future events occur or fail to occur. Our management and legal counsel assess such contingent liabilities, and such assessment inherently involves an exercise of judgment. In assessing loss contingencies related to legal proceedings that are pending against the Company or unasserted claims that may result in such proceedings, our legal counsel evaluates the perceived merits of any legal proceedings or unasserted claims as well as the perceived merits of the amount of relief sought or expected to be sought therein.

If the assessment of a contingency indicates that it is probable that a material loss has been incurred and the amount of the liability can be estimated, then the estimated liability would be accrued in the consolidated financial statements. If the assessment indicates that a potentially material loss contingency is not probable, but is reasonably possible, or is probable but cannot be estimated, then the nature of the contingent liability, together with an estimate of the range of possible loss if determinable and material, would be disclosed.

Loss contingencies considered remote are generally not disclosed unless they involve guarantees, in which case the nature of the guarantee would be disclosed.

Restatement of Prior Financial Information

After the issuance of the Company's comparative consolidated financial statements for the periods ended December 31, 2022 and December 31, 2021, the Company engaged new independent auditors. In connection with the re-audit of its 2022 consolidated financial statements, several errors were identified in the previously issued consolidated financial statements. Based on the 2022 re-audit, the Company made the following determinations:

a) Errors related to Lease Accounting

The Company identified errors which understated its operating lease right-of-use assets, net, operating lease liabilities, and lease expense recorded in Club operations expenses. The Company identified certain operating leases which had commenced during 2022 and should have been reflected on the consolidated balance sheet as of December 31, 2022.

b) Deferred Tax Asset Valuation Allowance Assessment

Based on the errors identified above, we re-evaluated our prior conclusion regarding the release of our valuation allowance on certain deferred tax assets in the year ended December 31, 2022. As a result, it is more likely than not that certain deferred tax assets will not be realized and have recorded a valuation allowance on those deferred tax assets.

c) Errors in Presentation of Financing Cash Flows

The Company identified an error in the presentation of certain borrowings and payments on our credit facility. We reflected the repayment of our revolver and borrowings on our Term Loan as a non-cash activity instead of presenting the activity on a gross basis in our cash flows from financing activities.

d) Errors in Classification of Accounts Payable and Accrued Expenses

The Company identified a misclassification of certain accrued expenses as accounts payable. These accrued expenses have now been presented separately from accounts payable on the consolidated balance sheet as of December 31, 2022.

e) In addition to the items noted above, we corrected other immaterial errors.

In accordance with the guidance provided by the SEC's Staff Accounting Bulletin 99, Materiality ("SAB 99") and Staff Accounting Bulletin 108, Considering the Effects of Prior Year Misstatements when Quantifying Misstatements in Current Year Financial Statements ("SAB 108"), the Company has determined that the impact of adjustments relating to the corrections of these accounting errors are material to the previously annual audited consolidated financial statements. Accordingly, these changes are disclosed herein:

The table below sets forth the impact of the restatement on the previously issued consolidated balance sheet as of December 31, 2022 (in thousands):

Consolidated Balance Sheets	Previously Reported	Reclassifications	Adjustments		As Restated
Total current assets	$ 22,170	$ -	$ (752)	(e)	$ 21,418
Operating lease right-of-use assets, net	381,281	-	21,027	(a)	402,308
Net deferred tax asset	6,290	-	(6,290)	(b)	-
Total assets	628,795	-	15,528	(a)(b)(e)	644,323
Accounts payable	13,434	(6,351)	(3,959)	(d)(e)	3,124
Accrued expenses	805	-	3,958	(d)(e)	4,763
Accrued property and equipment	-	6,351	1,469	(e)	7,820
Current portion of operating lease liabilities	2,798	-	21,612	(a)	24,410
Total current liabilities	60,432	(9)	23,157	(a)(d)(e)	83,580
Net deferred income tax liabilities	-	-	2,189	(b)	2,189
Total liabilities	665,459	9	26,459	(a)(b)(e)	691,927
Member's deficit	(36,664)	-	(10,940)	(a)(b)(e)	(47,604)
Total liabilities and member's deficit	628,795	-	15,528	(a)(b)(e)	644,323

The table below sets forth the impact of the restatement on the previously issued consolidated statement of operations for the year ended December 31, 2022 (in thousands):

Consolidated Statements of Operations	Previously Reported	Reclassifications	Adjustments		As Restated
Revenues	$ 252,120	$ -	$ (852)	(e)	$ 251,268
Club operations	121,983	-	1,577	(a)(e)	123,560
Income before provision for income taxes	3,177	-	(2,429)	(a)(e)	748
(Benefit from) provision for income taxes	(8,853)	-	8,460	(b)	(393)
Net income	12,030	-	(10,889)	(a)(b)(e)	1,141

The table below sets forth the impact of the restatement on the previously issued consolidated statement of changes in member's deficit for the year ended December 31, 2022 (in thousands):

Consolidated Statements of Changes in Member's Deficit	Previously Reported	Reclassifications	Adjustments		As Restated
Total member's deficit	$ (36,664)	$ -	$ (10,940)	(a)(b)(e)	$ (47,604)

The table below sets forth the impact of the restatement on the previously issued consolidated statements of cash flows for the year ended December 31, 2022 (in thousands):

Consolidated Statements of Cash Flows	Previously Reported	Reclassifications	Adjustments		As Restated
Net income	$ 12,030	$ -	$ (10,889)	(a)(b)(e)	$ 1,141
Net cash provided by operating activities	34,765	-	5,182	(a)(b)(e)	39,947
Net cash used in investing activities	(23,574)	-	(2,773)	(e)	(26,347)
Proceeds from Term Loan	-	-	10,000	(c)	10,000
Payments on revolving line of credit	-	-	(10,000)	(c)	(10,000)
Net cash used in financing activities	(9,259)	-	(2,509)	(e)	(11,768)
Supplemental Disclosure of Cash Flow Information					
Cash paid for interest	11,176	-	(754)	(e)	10,422
Cash paid for income taxes	20	-	30	(e)	50
Non-Cash Investing and Financing:					
Leased assets obtained in exchange for new/modified operating lease liabilities	75,500	-	28,371	(a)	103,871
Leased assets obtained in exchange for new finance lease liabilities	10,346	-	2,510	(a)	12,856
Property and equipment purchases in accrued property and equipment	8,152	-	(332)	(a)	7,820
Revolver conversion to term loan	10,000	-	(10,000)	(c)	-

The Company has also updated all accompanying footnotes and disclosures affected by the restatement.

Recently Adopted Accounting Pronouncements

In February 2016, the Financial Accounting Standards Board ("FASB") issued ASU No. 2016-02, Leases (Topic 842), ("ASC 842"). ASC 842 supersedes the lease recognition requirements in ASC 840, Leases. ASC 842 clarifies the definition of a lease and requires lessees to recognize right-of-use assets and lease liabilities for all leases, including those classified as operating leases under previous lease accounting guidance. The guidance is effective for private business entities for fiscal years beginning after December 15, 2019, with early adoption permitted. In October 2019, FASB extended the effective date to December 15, 2021. The Company adopted the standard effective January 1, 2022 using the modified retrospective transition method which allows for a cumulative-effect adjustment in the period of adoption with no restatement of prior periods. This method does not require disclosures required under ASC 842 for periods prior to the effective date. The Company elected the package of practical expedients upon adoption, which permits the Company to not reassess under the new standard the Company's prior conclusions about lease identification, lease classification and initial direct costs. Additionally, the Company did not elect the practical expedient permitting the use of hindsight in determining the reasonably assured lease term. As permitted by the FASB, the Company used the remaining lease term as of the adoption date to establish the discount rate used in measuring its operating lease liabilities and operating lease ROU

assets at adoption. The Company adopted ASC 842 as of January 1, 2022, which resulted in the recognition of operating lease ROU assets and operating lease liabilities of approximately $321.3 million and $411.1 million, respectively. Additionally, the Company recognized a cumulative effect adjustment, which decreased accumulated deficit by $4.7 million, net of tax.

The Company's finance lease assets and finance lease liabilities are recognized at the carrying amount of the existing capital lease assets and capital lease liabilities under ASC 840 at the date of the initial application.

In June 2016, the FASB issued ASU No. 2016-13, Financial Instruments —Credit Losses ("Topic 326"): Measurement of Credit Losses on Financial Instruments. The FASB has issued several amendments to the original standard including ASU No. 2019-04. The standard changes the impairment model for most financial instruments. Current guidance requires the recognition of credit losses based on an incurred loss impairment methodology that reflects losses once the losses are probable. Under the new standard, the Company is required to use a current expected credit loss model ("CECL") that will immediately recognize an estimate of credit losses that are expected to occur over the life of the financial instruments that are in the scope of this update, including trade receivables. The CECL model uses a broader range of reasonable and supportable information in the development of credit loss estimates. The Company adopted this standard on January 1, 2023 and there was no material impact to its consolidated financial statements.

In January 2017, the FASB issued ASU 2017-04, Simplifying the Test for Goodwill Impairment, which eliminates Step 2 of the goodwill impairment test. As such, an entity will perform its annual, or interim, goodwill impairment test by comparing the fair value of a reporting unit with its carrying amount. An entity should recognize a goodwill impairment charge for the amount by which the reporting unit's carrying amount exceeds its fair value. If fair value exceeds the carrying amount, no impairment should be recorded. Any loss recognized should not exceed the total amount of goodwill allocated to that reporting unit. Impairment losses on goodwill cannot be reversed once recognized. The Company adopted this standard on January 1, 2022 and there was no impact to its consolidated financial statements.

In August 2018, the FASB issued ASU No. 2018-15, Intangibles - Goodwill and Other - Internal- Use Software ("ASC 350-40"), Customer's Accounting for Implementation Cost Incurred in a Cloud Computing Arrangement That Is a Service Contract. This new guidance requires a customer in a cloud computing arrangement (i.e., hosting arrangement) that is a service contract to follow the internal-use software guidance in ASC 350-40 to determine which implementation costs to capitalize as assets or expense as incurred. Also, capitalized implementation costs related to a hosting arrangement, which is a service contract, will be amortized over the term of the hosting arrangement, beginning when the module or component of the hosting arrangement is ready for its intended use. Early adoption was permitted. The Company adopted this standard on January 1, 2022 and there was no impact to its consolidated financial statements.

New Accounting Pronouncements

In December 2023, the FASB issued ASU No. 2023-09, Income Taxes ("Topic 740"): Improvements to Income Tax Disclosures. This standard enhances annual income tax disclosures to address requests for more information about the tax risks and opportunities present in an entity's worldwide operations. The two primary enhancements disaggregate existing income tax disclosures related to the effective tax rate reconciliation and income taxes paid. This standard is effective for annual fiscal periods beginning after December 15, 2025 and allows the use of a prospective or retrospective approach. Early adoption is permitted. The Company is currently evaluating the impact of this standard on its consolidated financial statements.

3. Business Combinations

In April 2023, the Company entered into an asset purchase agreement to acquired 100% of the assets related to five clubs in Texas owned by LSSE M6 Football, LLC, LSSE M6 Katy Reserve, LLC, LSSE M6 Rosenberg, LLC, LSSE M6 Meyerland, LLC, LSSE M6 Allen, LLC, LSSE M6 Aliana, LLC and LSSE M6 Football LLC (collectively, "Texans Fit"). The aggregate purchase consideration in the transaction was $5.9 million, subject to certain adjustments.

Additionally, in October 2023, the Company entered into an asset purchase agreement to acquire 100% of the assets related to the UFC Fit club located in Las Vegas, Nevada. The aggregate purchase consideration in the transaction was $1.1 million and included cash consideration of $0.3 million, subject to certain adjustments, and the assumption of a finance lease in the amount of $0.8 million.

The Company did not enter into any acquisitions during the year ended December 31, 2022.

Our consolidated financial statements include the results of operations of these acquisitions from the date of acquisition. The total purchase consideration was allocated to the tangible and intangible assets acquired and the liabilities assumed at their estimated fair values as of each acquisition date, with any excess of fair value of the acquired net assets exceeding the purchase price consideration is recorded as a bargain purchase gain. As of the acquisition dates, the Company recorded estimates based on preliminary purchase price allocations prepared by a third party. As of December 31, 2023, the Company is continuing to obtain information to complete its valuation of certain assets and liabilities, during the measurement periods, which may be up to one year from the acquisition date.

The following table sets forth the preliminary purchase price allocation of these acquisitions in the aggregate (in thousands):

	Total
Total consideration paid	$ 6,975
Assets acquired:	
Operating lease right-of-use assets	34,976
Property and equipment, net	2,771
Favorable lease	747
Customer relationships	1,221
Total assets acquired	39,715
Liabilities assumed:	
Finance lease liabilities	2,010
Operating lease liabilities	26,910
Deferred tax liability	1,042
Total liabilities assumed	29,962
Net assets acquired less liabilities assumed	9,753
Bargain purchase gain	$ 2,778

We recognized a bargain purchase gain of $2.8 million in connection with the above acquisitions resulting from the estimated fair values of the assets acquired net of liabilities assumed exceeding the consideration paid. The bargain purchase gain was primarily due to the acquired real estate leases which had contractual lease rates which were below current market lease rates.

Amortization expense relating to the acquired intangible assets was $0.6 million for the year ended December 31, 2023, and was included in depreciation and amortization expense in the accompanying consolidated statements of operations.

4. Accounts Receivable and Other Receivables

Accounts receivable and other receivables consisted of the following (in thousands):

	December 31, 2023	December 31, 2022
Trade receivables	$ 550	$ 377
Landlord receivables	2	813
Retention receivables	-	1,233
Other receivables	331	11
Total	$ 883	$ 2,434

5. Prepaid and Other Current Assets

Prepaid and other current assets consisted of the following (in thousands):

	December 31, 2023	December 31, 2022
Contract assets	$ 5,947	$ 3,270
Deferred member acquisition costs	3,736	2,962
Security deposits	1,326	1,093
Inventory	1,052	1,186
Other prepaid and other current assets	2,408	1,721
Total	$ 14,469	$ 10,232

6. Property and Equipment, Net

Property and equipment, net consisted of the following (in thousands):

	December 31, 2023	December 31, 2022
Exercise equipment	$ 96,490	$ 65,517
Furniture and fixtures	13,711	7,616
Computers and software	4,982	2,717
Leasehold improvements	204,940	121,014
Construction-in-progress	56,565	21,033
	376,688	217,897
Less: accumulated depreciation and amortization	(95,557)	(67,130)
Property and equipment, net	$ 281,131	$ 150,767

Depreciation and amortization expense relating to property and equipment was $28.8 million and $21.4 million for the years ended December 31, 2023 and 2022, respectively.

7. Accrued Expenses

Accrued expenses consisted of the following (in thousands):

	December 31, 2023	December 31, 2022
Sales tax payable	$ 1,961	$ 1,326
Accrued utilities	788	889
Accrued rent	434	717
Accrued property taxes	581	549
Other accrued expenses	583	1,282
Total	$ 4,347	$ 4,763

8. Income Taxes

The benefit from income taxes consisted of the following (in thousands):

	December 31, 2023	December 31, 2022
Current:		
Federal	$ -	$ -
State	122	9
Total current	122	9
Deferred:		
Federal	(311)	(51)
State	(232)	(351)
Total deferred	(543)	(402)
Benefit from income taxes	$ (421)	$ (393)

The reconciliation of the statutory federal income tax rate to the Company's effective tax rate is as follows (in thousands):

	December 31, 2023	December 31, 2022
Tax at statutory federal rate	$ (2,814)	$ 157
State income taxes	(545)	313
Bargain purchase gain	(583)	-
Valuation allowance	3,378	(892)
Permanent items	143	29
Total	$ (421)	$ (393)

The tax effects of temporary differences and carryforwards that give rise to significant components of the deferred tax assets and deferred tax liabilities are as follows (in thousands):

	December 31, 2023	December 31, 2022
Deferred income tax assets:		
Federal and state net operating loss carryforward	$ 9,792	$ 10,929
IRC Section 163(j) limitation	5,897	2,430
Operating lease liability	170,032	128,951
Intangibles	1,294	1,366
Other	453	678
Total deferred income tax assets	187,468	144,354
Valuation allowance	(17,153)	(13,665)
Deferred income tax liabilities:		
Goodwill	(8,290)	(8,380)
Operating lease ROU asset	(126,746)	(103,843)
Property, plant and equipment	(36,796)	(19,827)
Other	(1,170)	(828)
Total deferred income tax liabilities	(173,002)	(132,878)
Net deferred income tax liabilities	$ (2,687)	$ (2,189)

The Company must assess whether a valuation allowance should be recorded against its deferred tax assets based on the weight of all positive and negative evidence available using a more-likely-than-not standard. Based on the weight of positive and negative evidence, the Company has determined that it is not more likely than not that it will recognize the benefit of its net deferred tax assets. Accordingly, the Company maintains a full valuation allowance against its net federal and state deferred tax assets, with the exception of a portion of its indefinite-lived deferred tax liability.

The following table details the changes in the valuation allowance (in thousands):

	December 31, 2023	December 31, 2022
Valuation allowance at beginning of year	$ 13,665	$ 16,972
Current year change	3,488	(3,307)
Valuation allowance at end of year	$ 17,153	$ 13,665

As of December 31, 2023, the Company has a federal net operating loss carryforward of $40.4 million to offset future taxable income, of which $3.9 million will expire between the years of 2035 through 2037, if not utilized. The remaining $36.5 million will carry forward indefinitely. The Company has a gross IRC Section 163(j) interest expense carryforward of $26.0 million that will carry forward indefinitely. The Company has state net operating loss carryforwards in Arizona of $8.7 million and California of $8.0 million, which will begin to expire in 2042 if not utilized, in Utah of $2.4 million that will carry forward indefinitely, and $1.2 million in Florida that will carry forward indefinitely.

The IRC contains provisions that limit the utilization of net operating loss carryforwards and tax credit carryforwards if there has been an ownership change. Such ownership change, as described in Section 382 of the IRC, may limit the Company's ability to utilize its net operating loss carryforwards and tax credit carryforwards on a yearly basis. To the extent that any single-year limitation is not utilized to the full amount of the limitation, such unused amounts are carried over to subsequent years until the earlier of utilization or the expiration of the relevant carryforward period.

The Company files income tax returns in the federal and various state jurisdictions. The Company and/or its consolidated filing parent are subject to federal examination for the tax years ended December 31, 2014 through 2023, and state examinations for the tax years ended December 31, 2019 through 2023.

Under ASC 740-10, Income Taxes, the tax benefit from an uncertain tax position may be recognized only if it is more likely than not that the tax position will be sustained on examination by the taxing authorities. The determination is based on the technical merits of the position and presumes that each uncertain tax position will be examined by the relevant taxing authority that has full knowledge of all relevant information. As of December 31, 2023 and 2022 the Company has no uncertain tax positions. If the Company did have uncertain tax positions it would record the related penalties and interest as a component of income tax expense.

9. Leases

The Company leases certain facilities and equipment that are classified as operating and finance leases with lease terms extending through December 2043 and December 2028, respectively.

The following table summarizes the impact of these leases on the accompanying consolidated balance sheets (in thousands):

Assets	Classification	December 31, 2023	December 31, 2022
Operating ROU assets	Operating lease right-of-use assets, net	$ 497,493	$ 402,308
Finance lease assets	Property and equipment, net	49,169	34,754
Total leased assets		$ 546,662	$ 437,062
Liabilities			
Current			
Operating	Current portion of operating lease liabilities	$ 29,324	$ 24,410
Finance	Current portion of finance lease liabilities	15,806	10,706
Long-term			
Operating	Noncurrent operating lease liabilities	622,504	474,226
Finance	Noncurrent finance lease liabilities	40,063	23,048
Total lease liabilities		$ 707,697	$ 532,390

Lease cost includes both the fixed and variable expenses recorded for leases. The following table summarizes the components of lease expense and the classification in the accompanying consolidated statements of operations (in thousands):

Lease Cost	Classification	December 31, 2023	December 31, 2022
Operating lease cost			
Fixed lease cost	Club operations	$ 60,285	$ 44,281
Fixed lease cost	Selling, general and administrative	588	471
Variable lease cost	Club operations	15,656	12,055
Variable lease cost	Selling, general and administrative	103	36
Finance lease cost			
Amortization of property and equipment	Depreciation and amortization	12,558	9,419
Interest on lease liabilities	Interest expense	3,529	2,286
Total lease cost		$ 92,719	$ 68,548

The following table summarizes the weighted average remaining lease terms and discount rates:

	December 31, 2023		December 31, 2022	
	Operating	Finance	Operating	Finance
Weighted average remaining lease term (in years)	13.1	3.7	12.9	3.4
Weighted average discount rate	6.1%	9.4%	5.1%	7.4%

The following table summarizes the future annual lease payments as of December 31, 2023 (in thousands):

	Operating	Finance	Total
2024 (net of tenant improvement allowance of $50,303)	$ 18,677	$ 18,892	$ 37,569
2025	76,652	16,438	93,090
2026	76,995	13,471	90,466
2027	77,275	9,406	86,681
2028	78,307	4,787	83,094
Thereafter	671,240	197	671,437
Total lease payments	999,146	63,191	1,062,337
Less: imputed interest	347,318	7,322	354,640
Present value of lease liabilities	$ 651,828	$ 55,869	$ 707,697

As of December 31, 2023, our future minimum lease payments above excludes $525.2 million and $2.0 million of real estate and equipment lease obligations, respectively, relating to legally binding leases executed but not yet commenced with lease terms covering a 5 to 20-year period.

The following table summarizes cash paid for leases (in thousands):

	December 31, 2023		December 31, 2022	
	Operating	Finance	Operating	Finance
Cash paid for amounts included in the measurement of lease liabilities	$ 52,211	$ 16,258	$ 41,387	$ 13,017

10. Commitments & Contingencies

Contingencies

The Company is subject to various legal proceedings, most of which relate to matters incidental to operations. Management does not believe the eventual outcome of these incidental legal proceedings will have a material adverse impact on the Company's financial condition or results of operations; however, the results of these claims cannot be predicted, and it is possible that the ultimate resolution of these matters, individually or in the aggregate, may have a material adverse effect on the Company's business (both in the near and long term), financial position, results of operations, or cash flows. Although the Company defends itself vigorously against claims and lawsuits and cooperates with investigations, these matters (1) could require payment of substantial damages or amounts in judgments or settlements, which individually or in the aggregate could exceed amounts, if any, that may be recovered under insurance policies where coverage applies and is available, (2) cause substantial expenses to be incurred, (3) require significant time and attention from the Company's management, and (4) could cause the Company to close or sell clubs or otherwise modify the way its business is conducted.

The Company accrues for claims and lawsuits when an unfavorable outcome is probable, and the amount is reasonably estimable. A discussion of matters that are not incidental to the Company's operations is below.

Morales/Laguna v. Fitness Alliance, LLC. was a Federal wage and hour class action/Private Attorneys General Act ("PAGA") claim for failure to pay minimum wage, break premiums and blended overtime pay. In May 2018 the Riverside County Superior Court upheld the rights to arbitration preventing a class action lawsuit. There was no activity on this case until 2022 when Morales/Laguna refiled her claim as an individual and PAGA claim with the State of California, County of Riverside alleging wage and hour violations. Defense counsel was able to obtain joint mediation of these matters with the Yoo matter, noted below.

Yoo v. Fitness Alliance, LLC and Zoberi v. Fitness Alliance, LLC. are cases that were filed in 2019 and were claims related to wage/hour statement penalties (California PAGA). The Zoberi claim was settled on an individual basis for the named plaintiff for an immaterial amount. During 2022, the Yoo matter was in litigation and the defendant filed a Motion for Summary Adjudication on a discrete legal issue related to wage statements that the parties disputed at mediation.

In July 2022, the Yoo v. Fitness Alliance together with Morales/Laguna vs. Fitness Alliance were settled for approximately $0.7 million which were included in accrued expenses in the accompanying consolidated balance sheets as of December 31, 2022. The court issued its final approval in June 2023 and as of December 31, 2023 payments of $0.7 million were paid by the Company.

Pardo v. Fitness Alliance, LLC. This matter is brought pursuant to the Private Attorneys General Act ("PAGA") seeking recourse for wage/hour violations, failure to: provide meal and rest breaks; pay sick pay; pay minimum wage; pay overtime; pay all wages at termination; reimburse business expenses; as well as wage statement violations; timely payment of wages; and suitable seating. This action is in Orange County Superior Court. Ms. Pardo also brought a class action suit (which alleges the same claims as in the PAGA suit) in Los Angeles County Superior Court, where she seeks to represent all non-exempt employees working for Fitness Alliance, LLC.

Lacosta v. Fitness Alliance, LLC. This case is virtually identical to Ms. Pardo's PAGA matter, and the claims are subsumed by those alleged in that case. This action is in the San Diego County Superior Court.

The parties are attempting to resolve both cases via a global resolution. The parties attended mediation on February 23, 2024, and have continued to work with the mediator in an effort to effectuate a resolution. As amounts were not reasonably estimable, no accruals were made as of December 31, 2023.

In April 2024, the Company, together with the parties aforementioned above, LaCosta and Pardo, reached a memorandum of understanding ("MOU") allowing for resolution of all parties' claims. Through the MOU the parties will dismiss their lawsuits and release their claims in exchange for a gross settlement of approximately $0.7 million, to be paid in three installments.

11. Notes Payable

Our notes payable consisted of the following (in thousands, except interest rates):

	Interest Rate[1]	December 31, 2023	December 31, 2022
Term Loan	10.9% (2)	$ 110,410	$ 96,447
DDTL	10.8% (3)	28,500	10,682
Revolving line of credit	0.5% (4)	-	2,739
SBA	3.8%	144	135
Total outstanding debt		139,054	110,003
Less: notes payable, current portion		1,499	1,110
Less: debt issuance costs		2,066	1,858
Less: revolving line of credit		-	2,739
Notes payable		$ 135,489	$ 104,296

(1) Interest rates as of December 31, 2023.
(2) Carries interest at the applicable margin, plus either the base rate, term secured overnight financing rate ("Term SOFR") or Term SOFR plus the SOFR adjustment ("Adjusted Term SOFR").
(3) Carries interest at the applicable margin, plus either the base rate, Term SOFR, or the Adjusted Term SOFR. In addition, a commitment fee of 1.00% based on the unused portion.
(4) Carries interest at the applicable margin, plus the base rate or Adjusted Term SOFR. In addition, a commitment fee of 0.50% based on the unused portion.

In January 2019, the Company entered into a 6-year agreement that consisted of a $90 million term loan (the "Term Loan"), $20.0 million delayed draw term loan, and a $10.0 million revolving credit facility (the "Revolver"). In June 2022, the Company entered into an amendment to the credit agreement which extended the maturity date to January 2026 and increased the Term Loan by $10 million, added a delayed draw for $10 million, the $10 million Revolver balance was converted to

the Term Loan, and a $10 million Revolver was extended to the Company. In addition, the LIBOR rate was amended to Term SOFR.

Further in October 2023, the Company entered into a fifth amendment to the Credit Agreement (the "Amended Credit Agreement") which included, but not limited to, the following (i) extended the maturity date to January 2027, (ii) increased the borrowings under the Term Loan by $15 million to $115 million, (iii) added a new delayed draw for $35 million for an aggregated borrowings under the delayed draw (collectively "DDTL") of $65 million, (iv) increased the applicable margin for certain Term Loans to be equal to (a) base rate loan, 4.25% per annum, and (b) if SOFR loan, 5.25% per annum, (v) increased the applicable margin for certain other Term Loans to be equal to (a) if a base rate loan, 4.75% per annum, and (b) if a SOFR loan, 5.75% per annum. The Term SOFR adjustment for the applicable interest periods shall equal (a) 0.10% per annum for one month, (b) 0.15% per annum for three months, and (c) 0.25% per annum for six months. All other material terms of the Amended Credit Agreement remained substantially unchanged.

Term Loan

The Term Loan is secured by substantially all the assets of the Company. Principal payments are made quarterly and $225,000 are made through June 2022 and $250,000 are made through maturity. Interest is paid quarterly at the applicable margin rate, which is based on the Company's total leverage ratio, plus either the base rate, Term SOFR or Adjusted Term SOFR.

DDTL

The DDTL allows the Company to make additional borrowings in tranches. Installment principal payments are made quarterly and equal 0.25% of the original aggregate principal amount of each DDTL tranche. Interest is paid quarterly at the applicable margin rate, which is based on the Company's total leverage ratio, plus either the base rate, Term SOFR, or Adjusted Term SOFR, as noted above. In addition, the Company is required to pay a quarterly commitment fee of 1.00% per annum on the unused portion.

Revolver

The Revolver allows for voluntary prepayments and all outstanding principal payments are due at maturity. The Revolver shall bear interest on the outstanding balance at a rate per annum equal to Adjusted Term SOFR or the base rate, plus the applicable margin. In addition, the Company is required to pay a quarterly commitment fee of 0.50% per annum on the unused portion.

Small Business Administration ("SBA") & Paycheck Protection Program Loan ("PPP")

In September 2020, the Company received a $150,000 SBA Economic Injury Disaster ("SBA Loan") for a 30-year term maturing in September 2050. The SBA Loan bears interest at 3.75% per annum.

In addition, on May 3, 2020, the Company received a PPP loan of $8.1 million under the Coronavirus Aid, Relief, and Economic Security Act at a rate of 1% per annum. In July 2021, the Company received a notice of forgiveness in full principal and accrued interest. The SBA maintains the right to audit the forgiveness of the PPP loans for a six-year period under the terms of the agreements. There can be no certainty as to the outcome of an SBA audit.

Covenants

The lenders of the Amended Credit Agreement require the Company to maintain certain covenants including a maximum total leverage ratio measured quarterly until maturity. The Company was in compliance with all covenants as of December 31, 2023.

Fair Value

The recorded value of debt approximates fair value based on the terms available to the Company for similar types of borrowing arrangements.

Future Debt Maturities

The following table summarizes the debt maturities and scheduled principal repayments of the Company's indebtedness as of December 31, 2023 (in thousands):

	Total
2024	$ 1,499
2025	1,499
2026	1,499
2027	134,448
2028	9
Thereafter	100
Total future notes payable	$ 139,054

12. Related Party Transactions

The Company incurs management fees, which are paid semi-annually to BRS and co-investors. The amounts recorded for the years ended December 31, 2023 and 2022, were $2.7 million and $1.3 million, respectively. These amounts are classified under selling, general and administrative in the accompanying consolidated statements of operations.

13. Member's Deficit

The Member (Intermediate Holdings) owns 100% limited liability company interest, which includes all respective rights, preferences, and privileges of ownership.

Incentive Unit Grant Agreements

The Company had a Management Incentive Equity Plan (the "Plan") that provided issuance of up to 250,000 Class C Common Units ("Units) under the Plan to the Company's employees, consultants, officers and non-employee directors or non-employee managers, which was utilized to issue the 2016 and 2018 Units. In addition, the Company authorized an additional 30,288 Units in March 2023, which was utilized to issue the 2023 Units. As of December 31, 2023, there were no Units available to be issued under the Plan.

Units granted under the Plan generally have contractual terms of 10 years and become fully vested ratably over five years of continuous service and performance achievements. As of December 31, 2023, the outstanding unrecognized equity-based compensation expense related to Units was $0.7 million, which is expected to be recognized over approximately 4.0 years, subject to the achievement of service and performance conditions.

There were no Units granted during the year ended December 31, 2022. For Units granted during the year ended December 31, 2023, we used a Monte Carlo simulation to determine the grant-date fair value. The weighted-average assumptions used in the Monte Carlo simulation were as follows:

Expected life	1.8 years
Risk-free rate	4.2%
Volatility	47.4%
Expected dividend rate	0%

Because the Company is privately held and does not have an active trading market for its common stock, the expected volatility was estimated based on the average volatility for publicly traded companies that the Company considers to be comparable, over a period equal to the expected life.

The following table summarizes the Unit activity for the years ended December 31, 2023 and 2022:

	Number of Units	Weighted-Average Grant Date Fair Value
Balance as of January 1, 2022	57,555	$ 9.29
Granted	-	-
Vested	-	-
Forfeited	-	-
Balance as of December 31, 2022	57,555	$ 9.29
Granted	30,288	27.58
Vested	(6,058)	27.58
Forfeited	-	-
Balance as of December 31, 2023	81,785	$ 14.71

For the years ended December 31, 2023 and 2022, we recorded $0.4 million and $21,000 of equity-based compensation expense related to its Units, respectively. Equity-based compensation expense is reported in selling, general and administrative in our accompanying consolidated statements of operations.

14. Subsequent Events

Management has evaluated subsequent events through April 29, 2024, the date on which the accompanying consolidated financial statements were available to be issued.

In March 2024, the Company entered into a preliminary and non-binding agreement to acquire certain fitness center locations and assets on a cash-free, debt-free basis, excluding the assumption of $9.5 million of equipment leases, for approximately $110.0 million.

In April 2024, the Company entered into a redemption agreement with the Company's chief executive officer, Rich Drengberg (the "Holder")(the "Agreement"). The Agreement sets forth the exchange and redemption of 46,080 Units of the Holder for cash equal to $12.5 million which was funded through an increase in our outstanding term loan.

In addition, in April 2024, pending a valuation, the Company authorized and issued 61,260 Incentive Equity Units.